

### Strong Numbers, Asset Quality Issues Persist in Certain Geographies, Expect Strong end to FY22



**Credit Access Grameen Ltd has reported a stable set of numbers as asset quality stress still not completely behind the company as write-offs were again taken in the quarter and collection efficiencies has not shown marked improvement. Company showed strong operational performance in terms of growth in Gross Loan Portfolio and disbursements. Profitability and Income beat our estimates.**

- **Net Interest Income came in at INR 4.12 Bn**, 35.5% YoY/11.7%QoQ above our expectation of INR 3.9 Bn.
- **Other Income came in at INR .38 Bn**, 162.1% YoY/ 11.7% QoQ
- **PPOP came in at INR 2.73 Bn**, 60.6%YoY/25.1% QoQ in line with our expectation of INR 2.8 Bn.
- **Provisions came in at INR 1.1 Bn**, (57.2 %) YoY / (15.7)% QoQ
- **Company reported a profit of INR 1.1 Bn**, 247.9% YoY / 95.9% QoQ above our estimates of INR .90Bn
- **EPS stood at INR 7.69** vs INR (5.12) / INR 4.08 in YoY / QoQ respectively.

#### Financial and Operational Highlights

- Gross Loan Portfolio (GLP) showed strong growth and came in at INR 145.87 Bn (18.4% YoY/9.4% QoQ). Disbursements in Q3'22 saw significant growth on a QoQ basis and came in at INR 47.2 Bn vs INR 38.9 Bn. GLP showing strong growth on a QoQ basis a major positive, GLP has overtaken Q4'21 GLP of INR 135.87Bn
- Asset Quality showed improvement with GNPA coming in at 6.02% (-8 bps YoY/-160bps QoQ). Write-off of INR 1.90 Bn taken in Q3' FY22.
- Credit Access recorded marginal improvement collection efficiency of 95.6% in January'22 / 93% in September'21, Madura Micro Finance collection efficiency lags behind with 90% in January'22. Collection efficiency is below 95% in 2 states Maharashtra and Madhya Pradesh Maharashtra and Madhya Pradesh form 26.0% of overall GLP down from 30.8% in the last quarter, due to new branch openings in new geographies.

#### Financial Summary

| Y/E Mar(Rs bn) | FY 19 | FY 20 | FY 21  | FY 22E | FY 23E |
|----------------|-------|-------|--------|--------|--------|
| NII            | 8     | 10    | 14     | 15     | 18     |
| Net Profit     | 3     | 3     | 1      | 3      | 6      |
| Net Worth      | 24    | 27    | 37     | 41     | 48     |
| EPS(Rs)        | 22    | 23    | 9      | 18     | 32     |
| growth(%)      | 45.0  | 14.8  | (33.0) | 100.0  | 77.0   |
| P/E(X)         | 33.0  | 31.0  | 81.1   | 40.6   | 22.8   |
| P/BV(x)        | 4.2   | 3.7   | 3.0    | 2.9    | 2.4    |
| ROA(%)         | 5.2   | 3.3   | 1.0    | 2.0    | 4.3    |
| ROE(%)         | 16.9  | 13.0  | 4.2    | 7.5    | 16.0   |

Source: Dalal & Broacha Research

| Rating      | TP (Rs)    | Up/Dn (%) |
|-------------|------------|-----------|
| <b>HOLD</b> | <b>700</b> | <b>-4</b> |

#### Market data

|                      |           |            |
|----------------------|-----------|------------|
| <b>Current price</b> | <b>Rs</b> | <b>731</b> |
| Market Cap (Rs.Bn)   | (Rs Bn)   | 102        |
| Market Cap (US\$ Mn) | (US\$ Mn) | 1,365      |
| Face Value           | Rs        | 10         |
| 52 Weeks High/Low    | Rs        | 2          |
| Average Daily Volume | ('000)    | 808/495    |
| BSE Code             |           | 541770     |
| Bloomberg            |           | CREDAG.IN  |

Source: Bloomberg

#### One Year Performance



Source: Bloomberg

| % Shareholding | Dec-21     | Sep-21     |
|----------------|------------|------------|
| Promoters      | 73.89      | 73.91      |
| Public         | 26.11      | 26.09      |
| <b>Total</b>   | <b>100</b> | <b>100</b> |

Source: BSE

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- Operational efficiency improved as income and other income rose, with standalone cost to income ratio stood at 36.1% (-640 bps QoQ).
- Capital Adequacy remains strong with CRAR of 24.8%.
- Strong liquidity position cash/bank balance of INR 16.25Bn as on December'21.
- Branch network increased by 14.7% YoY to 1,593 with 48 new branches opened primarily in newer markets. Over 2 lakh new borrowers were added This is another strong point as the company is walking the talk to diversify the geography of their operation.

## Valuation and outlook

Credit Access Grameen Ltd has reported stable numbers this quarter. GLP growth was extremely impressive.

Low collection efficiencies for Madura is a negative and continues to lag behind Credit Access, collection efficiencies still have not reached levels which we would like with Tamil Nadu, Madhya Pradesh and Maharashtra proving to be a stress point.

At current price of INR 731 stock trades at P/BV of 2.9x for FY22 and 2.4x for FY23 and we have a HOLD rating on the stock with target price of INR 650.

**We are increasing our Target price to INR 700 valuing the company at 2.3x FY23 P/BV from INR 650 and maintain our "HOLD" rating** as loan growth has been excellent.

We are finally increasing our target price for the first time since we initiated coverage of the company at INR 408 as the company is showing strong growth and we see visibility in asset quality improving atleast by Q1'23. Branch openings in different geographies is another big positive as it eliminates concentration risk.

## Highlights of the Conference Call

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### Collection Efficiency

- Gradual pick-up in monthly collections in January (excl. arrears/ incl. arrears).
- CAGL: 98% in Jan-22, MMFL: 92% in Jan-22.

### Portfolio At Risk

- PAR 0 at 6.4% as on January'22 reduced from 9.9% in October'21, PAR 60 at 4.8% as on Jan'22 reduced from 6.8% in September'21, PAR 90 at 4.2% as on Jan'22 from 5.4% in Sept'21.

### Full payment and Partial Payment Numbers

- Continued efforts to encourage customers to maintain/ improve the repayment trend.
- Write-off of INR 190 Cr taken in Q3 FY22
- Issues persist in Maharashtra. Non-Payment customers saw a slight uptick in Jan'22 to 3.8% from 3.4% in Dec'21 as there was some slippage from part-paying customer.

### Provisioning

- By industry norms, ECL is 4.20% against GNPA of 5.05% (@ 90+ dpd), lowering the provisioning requirement by INR 23.7 Cr
- Only 1.4% restructured GLP, with 32.4% provisioning
- Bad -debt recovery of INR 26.9 Cr in Q3 FY22

### Geographical Diversification and New Branch Openings

- 48% of new borrower additions was outside top 3 states
- 48 new branches opened in Q3 FY22 (CA Grameen: 45, MMFL: 3).

## Financials

Table 1

| P&L (Rs Bn)                  | Q4FY20     | Q1FY21     | Q2FY21     | Q3FY21      | Q4FY21     | Q1FY22     | Q2FY22     | Q3FY22     |
|------------------------------|------------|------------|------------|-------------|------------|------------|------------|------------|
| Interest Earned              | 4.5        | 4.9        | 4.6        | 4.1         | 5.0        | 5.0        | 4.9        | 5.4        |
| Interest Expended            | 1.7        | 1.9        | 1.9        | 1.8         | 1          | 2          | 1.8        | 1.9        |
| <b>NII</b>                   | <b>2.8</b> | <b>3</b>   | <b>2.7</b> | <b>2.5</b>  | <b>4</b>   | <b>3</b>   | <b>3</b>   | <b>3.5</b> |
| Other Income                 | 0          | 0.25       | 0.1        | 0.1         | 0.1        | 0.1        | 0.1        | 0.3        |
| <b>Net Income</b>            | <b>2.9</b> | <b>3.2</b> | <b>2.8</b> | <b>2.6</b>  | <b>4.2</b> | <b>3.1</b> | <b>3.3</b> | <b>3.8</b> |
| Opex                         | 1          | 1          | 1          | 1           | 1          | 1          | 1.5        | 1.3        |
| <b>PPOP</b>                  | <b>1.9</b> | <b>2.1</b> | <b>1.7</b> | <b>1.4</b>  | <b>3</b>   | <b>2</b>   | <b>1.8</b> | <b>2.5</b> |
| Provisions                   | 1          | 1          | 1          | 2           | 2          | 1.5        | 0.9        | 0.7        |
| <b>PBT</b>                   | <b>0</b>   | <b>1</b>   | <b>1</b>   | <b>-0.9</b> | <b>1</b>   | <b>0.4</b> | <b>0.9</b> | <b>1.7</b> |
| Tax                          | 0          | 0          | 0          | -0.2        | 0.2        | 0.1        | 0.2        | 0.4        |
| <b>PAT</b>                   | <b>0.2</b> | <b>0.6</b> | <b>0.7</b> | <b>-0.7</b> | <b>0.7</b> | <b>0.3</b> | <b>0.7</b> | <b>1.3</b> |
| <b>Loan Portfolio(Rs Bn)</b> |            |            |            |             |            |            |            |            |
| Gross Loan Portfolio         | 99         | 97         | 92         | 102         | 113        | 127        | 133        | 145        |
| IGL                          | 94         | 92         | 88         | 98          | 105        | 123        | 129        | 141        |
| Retail Loans                 | 5          | 5          | 4          | 4           | 8          | 4          | 4          | 4          |
| <b>Ratios (%)</b>            |            |            |            |             |            |            |            |            |
| GNPA                         | 1.5        | 1.6        | 1.6        | 1           | 4.4        | 8.1        | 7.1        | 5.5        |
| NNPA                         | 0          | 0          | 0          | 0           | 0          | 0          | 0          | 0          |
| CAR                          | 23.5       | 23.7       | 26.4       | 31.4        | 31.8       | 33.8       | 30.9       | 29.4       |
| Cost/Income                  | 36.6       | 31         | 39.2       | 43.5        | 34.8       | 37.4       | 42.5       | 36.1       |
| Portfolio Yield              | 19.6       | 20.5       | 19.7       | 16.3        | 18.6       | 18.4       | 18.5       | 18.6       |
| Cost of Borrowing            | 9.6        | 9.4        | 9.6        | 9.4         | 8.9        | 9.3        | 9.3        | 9.2        |
| Spread                       | 10         | 11         | 11.1       | 6.9         | 9.7        | 9.1        | 9.2        | 9.4        |
| NIM                          | 12.1       | 12.6       | 11.1       | 8.7         | 11.3       | 10.5       | 11.3       | 11.7       |
| ROA                          | 3.6        | 2.2        | 2.7        | -2.5        | 1.2        | 0.9        | 2.2        | 3.8        |
| ROE                          | 12.9       | 9.4        | 11.3       | -9          | 4.6        | 3.2        | 7.8        | 13.6       |

Source: Dalal &amp; Broacha Research

## Exhibit 1:

| P&L (Rs Bn)         | FY 20       | FY 21       | FY 22       | FY 23       |
|---------------------|-------------|-------------|-------------|-------------|
| Interest Earned     | 16.3        | 22.9        | 25.4        | 31          |
| Interest Expended   | 5.8         | 9.2         | 10          | 11          |
| <b>NII</b>          | <b>10.5</b> | <b>13.6</b> | <b>15.4</b> | <b>18</b>   |
| Other Income        | 0.7         | 1.8         | 1.2         | 1.4         |
| <b>Total Income</b> | <b>11.2</b> | <b>15.4</b> | <b>16.6</b> | <b>19.4</b> |
| Opex                | 4.2         | 5.4         | 5.6         | 4.4         |
| <b>PPOP</b>         | <b>7</b>    | <b>10</b>   | <b>11</b>   | <b>15</b>   |
| Provisions          | 2.3         | 8.2         | 7.6         | 6.6         |
| <b>PBT</b>          | <b>4.6</b>  | <b>1.8</b>  | <b>3.4</b>  | <b>8.4</b>  |
| Tax                 | 1.3         | 0.4         | 0.4         | 2.4         |
| <b>PAT</b>          | <b>3.1</b>  | <b>1.4</b>  | <b>3</b>    | <b>6.6</b>  |

Source: Dalal &amp; Broacha Research, Company

## Exhibit 2:

| BS (Rs Bn)        | FY 20        | FY 21        | FY 22        | FY 23        |
|-------------------|--------------|--------------|--------------|--------------|
| Capital           | 1.4          | 1.5          | 1.5          | 1.5          |
| Reserves          | 25.9         | 35.0         | 39.0         | 45.0         |
| Borrowings        | 95.4         | 110.0        | 123.0        | 137.0        |
| Other Liabilities | 3.2          | 4.0          | 4.0          | 2.0          |
| <b>Total</b>      | <b>125.9</b> | <b>150.5</b> | <b>167.5</b> | <b>185.4</b> |
| Cash & Bank       | 7.2          | 25.0         | 20.0         | 17.0         |
| Advances          | 110.9        | 117.2        | 140.0        | 160.0        |
| Intangible Assets | 4.9          | 4.4          | 4.4          | 4.5          |
| Fixed Assets      | 0.3          | 0.3          | 0.4          | 0.4          |
| Other Assets      | 2.5          | 2.2          | 2.4          | 3.5          |
| <b>Total</b>      | <b>125.9</b> | <b>150.5</b> | <b>167.5</b> | <b>185.4</b> |

Source: Dalal &amp; Broacha Research, Company

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